PAPER – 3: TAXATION

SECTION A: INCOME TAX LAW

The Income-tax law, as amended by the Finance (No. 2) Act, 2024, including significant notifications/ circulars issued upto 31st October, 2024, is applicable for May, 2025 examination. The relevant assessment year for May, 2025 examination is A.Y.2025-26. The October, 2024 edition of the Study Material is based on the provisions of Income-tax law as amended by the Finance (No. 2) Act, 2024 and significant notifications/circulars issued upto 30.09.2024, and hence, the same is relevant for May, 2025 examination. Since there is no significant notifications/circulars issued between 1.10.2024 and 31.10.2024, Statutory Update is not issued for May 2025 Examination.

QUESTIONS

Case Scenario

Mr. Raj, aged 38 years, an Indian citizen, is carrying on manufacturing business in Canada. He frequently visits India for business purpose on a regular basis. He was in India for the first time in the year 2021-22 for 190 days, in the year 2022-23 for 145 days and in the year 2023-24 for 155 days.

Afterwards he decided to close his business in Canada and shift permanently in India. So, he came to India on 1.11.2024 and started a business in Mumbai. His profits from business in Canada till 31.10.2024 is ₹ 15 lakhs and from Indian business is ₹ 5 lakhs.

He does not own any house property in Mumbai and is staying in a rented accommodation from 1.11.2024 on a monthly rent of ₹ 20,000. He made a donation of ₹ 50,000 to PM Cares Fund and donation of ₹ 20,000 to Prime Minister's Drought Relief Fund by cheque during the P.Y. 2024-25.

He had purchased 10,000, 9% debentures of ABC (P) Ltd. in August 2020 @ ₹ 150 each. Face value of each debenture is ₹ 100. He sold 2,500 debentures in April, 2024 @ ₹ 175 each and remaining 7,500 debentures in August, 2024 @155 each. Interest on debenture is due on 30th June and 31st December of every year.

CII – F.Y. 2020-21: 301; F.Y. 2024-25: 363

Mr. Raj follows cash basis of accounting, and he wants to opt out of the default tax regime under section 115BAC.

Based on the facts of the case scenario given above, choose the most appropriate answer to the following questions:

1. What is the residential status of Mr. Raj for the previous year 2024-25?

   (a) Resident but not ordinarily resident

   (b) Resident and ordinary resident

   (c) Non-resident

   (d) Deemed resident

2. What is the amount of capital gains chargeable to tax in the hands of Mr. Raj on sale of debentures for the P.Y. 2024-25?

   (a) LTCG of ₹ 1,00,000

   (b) LTCG of (₹ 14,750) and STCG of ₹ 37,500

   (c) LTCG of (₹ 2,09,000)

   (d) LTCG of ₹ 62,500 and STCG of ₹ 37,500

3. What will be the gross total income of Mr. Raj for the A.Y. 2025-26?

   (a) ₹ 21,00,000

   (b) ₹ 6,33,750

   (c) ₹ 5,37,500

   (d) ₹ 5,71,500

4. What is the amount of deduction available under Chapter VI-A to Mr. Raj for A.Y. 2025-26?

   (a) ₹ 60,000

   (b) ₹ 85,000

   (c) ₹ 70,000

   (d) ₹ 1,20,000

5. What is the tax liability of Mr. Raj for A.Y. 2025-26?

   (a) ₹ 25,290

   (b) ₹ 28,340

   (c) ₹ 29,380

   (d) Nil

6. Mr. Kunal (age 27 years) is an employee in a private company posted in Delhi. He was appointed on 01.02.2023 in the scale of ₹ 60,000 - ₹ 1,000 - ₹ 70,000. He furnishes you the following information for the previous year 2024-25:

   (i) Dearness allowance @25% of basic salary (60% of DA forms part of retirement benefits)

   (ii) Bonus equal to one month salary. Paid in November 2024 on basic salary applicable for that month.

   (iii) Leave encashment for P.Y. 2024-25 of ₹ 10,000.

   (iv) He also received a motor car on 01.12.2024 (cubic capacity of engine exceeds 1.60 litres) along with chauffeur for both official and personal purpose. The motor car is owned by his employer and all expenses are met by the employer.

   (v) His employer granted him a loan of ₹ 2,00,000 on 1st June, 2024 which is repayable in equal quarterly installments over 2 years starting from 1st October, 2024. The State Bank of India (SBI) lending rate for such loans is 9.5% per annum as on 01.04.2024, while the employer recovers interest @5.5% per annum from the employee.

(vi) His employer gave him a rent-free accommodation (fully furnished) in Delhi from 01.04.2023. This house is owned by the employer. The perquisite value of such furnished rent-free accommodation during the previous year 2023-24 was valued at ₹ 92,000. Further, the accommodation is continued to be provided by the employer to the employee in P.Y. 2024-25 also.

(vii) The furniture and appliances provided with the house were bought by the employer at an aggregate cost of ₹ 1,50,000 on 01.01.2023. Electricity and water bills of ₹ 5,000 p.m. for the said house were paid by the employer.

Cost Inflation Index

F.Y. 2023-24-348, F.Y. 2024-25-363.

(viii) His colleagues gifted him a mobile phone worth ₹ 45,000 from their own contribution on account of his marriage.

You are required to compute the income chargeable under the head Salaries in the hands of Mr. Kunal for the Assessment Year 2025-26 assuming that he wants to pay tax under default tax regime under section 115BAC.

7. Ms. Priya has always been financially aware and strategic with her investments. In January 2022, she saw an opportunity in gold and purchased gold jewellery worth ₹ 3,25,000, believing it would be a safe investment for the future. In October 2024, gold prices increased and she decided to sell her jewellery on 31.10.2024 for ₹ 4,75,000.

She also sold her house property in Delhi on 01.12.2024 for ₹ 80 lakhs. The stamp duty value of property at the time of transfer was ₹ 90 lakhs.

She purchased this property on 15.07.1998 for ₹ 8.80 lakhs. The FMV of the property as on 1st April, 2001 was ₹ 10.8 lakhs and Stamp duty value on the said date was ₹ 10 lakhs. She had incurred brokerage and other expenses @1% on purchase price at that time.

Compute the capital gain tax to be paid by Ms. Priya for A.Y. 2025-26 assuming her other income exceeds the basic exemption limit.

CII – F.Y. 2001-02: 100; F.Y. 2021-22: 317; F.Y. 2024-25:363

8. Mr. Akshay, a resident individual, provides the following details of his income/losses for the year ended 31.03.2025:

	Particulars	Amount (₹)
(i)	Income from salary (computed)	35,20,000
(ii)	Rent received from house property situated in Delhi	5,00,000
(iii)	Repayment of loan taken for purchase of above property. Loan was taken from a friend. This repayment includes payment of interest of ₹ 7,00,000	15,25,000
(iv)	Rent received from house property situated in Jaipur	3,20,000
(v)	Interest on loan taken for repair of house properties situated in Mumbai and Delhi. The property in Mumbai is self-occupied. Loan was taken on 01.04.17 and was utilized in 50:50 ratio for house properties situated in Mumbai and Delhi, respectively.	1,50,000
(vi)	Long-term capital gains on sale of equity shares on which STT has been paid	7,95,000
(vii)	Interest on fixed deposit	73,000
(viii)	Loss from textile business	7,50,000
(ix)	Speculation business profit	2,30,000
(x)	Lottery income (Gross)	75,000
(xi)	Loss incurred by the firm in which he is a partner	1,60,000
(xii)	Salary received as a partner from partnership firm. The same was allowed to firm	50,000
(xiii)	Life insurance premium paid for his son who is 30 years of age and is working in USA	15,000

He has the following brought forward losses of A.Y. 2024-25

Brought forward short-term capital loss on sale of gold	2,75,000
Brought forward loss on sale of equity shares u/s 111A	25,000

Compute total income of Mr. Akshay for the assessment year 2025-26 and the amount of loss that can be carried forward. Mr. Akshay has opted out of the default tax regime.

9. Examine the applicability and amount of Tax deduction at source (TDS) or Tax collection at source (TCS) as per the Income-tax Act, 1961 for the A.Y 2025-26 in the following situations:

   (i) Mr. Subhash is a salaried individual pays rent of ₹ 52,000 per month to Mr. Raj from April 2024. Mr. Subhash vacated the premises on 31st August, 2024. What if he vacates the premises on 31st October, 2024.

   (ii) ABC Traders, a partnership firm, is engaged in the wholesale business of tendu leaves. Its turnover for the P.Y. 2023-24 was ₹ 9 crores. During the financial year 2024-25, it sold tendu leaves worth ₹ 12 lakhs to XYZ Ltd. XYZ Ltd. does not provide its PAN to ABC Trader.

10. Mr. Ganesh, a resident and ordinarily resident aged 61 years, is engaged in the business of manufacturing furniture. He is subject to tax audit under section 44AB of Income-tax Act, 1961. He has provided following information:

Profit & Loss account for the year ended 31st March, 2025

Particulars	(₹)	Particulars	(₹)
To Administrative expenses	64,30,000	By Gross Profit	2,57,30,000
To Salaries & wages	80,00,000	By Winning from lottery (Net of TDS @ 30%)	31,500
To Interest on loans	7,50,000	Bad debt recovered	3,00,000
To Depreciation	6,17,000		
To Professional fees	12,70,000		

To Rent, rates & taxes	22,80,000		
To Travelling & conveyance	11,40,000		
To Loss on sale of asset of scientific research	2,00,000		
To Net Profit	53,74,500		
Total	**2,60,61,500**	**Total**	**2,60,61,500**

Other information:

(i) Opening and closing stock of finished goods were undervalued by 10%. Opening stock of ₹ 14,50,000 and Closing stock of ₹ 15,58,000 was shown.

(ii) Salaries & wages include following items:

(a) Contributed 20% of basic salary in National Pension Scheme referred in section 80CCD regarding salary paid to an employee Mr. Ramesh who has withdrawn basic salary of ₹ 5,00,000 and Dearness allowance is 40% of basic salary. 50% of Dearness allowance forms part of the salary.

(b) Some of the employees opted for retirement under the voluntary retirement scheme; a sum of ₹ 3,40,000 was paid to them on 1st January, 2025.

(iii) Interest on loan includes interest paid @ 15% per annum on loan of ₹ 12,00,000 which was taken from State Bank of India on 01.05.2022 for purchase of new electric car of ₹ 15,00,000. The car is used for personal purpose. No amount is repaid so far.

(iv) Depreciation allowable as per Income-tax Rules, 1962 is ₹ 4,50,000 but during the calculation of such depreciation following addition was not considered:

Motor car purchased for ₹ 3,00,000 for supply of finished goods to dealers on 25-08-2024.

(v) An asset was purchased for ₹ 6,00,000 on 23.7.2021 for conducting scientific research and the deduction was claimed under section 35 of the Income-tax Act, 1961. This asset was sold on 05-09-2024 for a consideration of ₹ 4,00,000.

(vi) Administrative expenses includes expenditure of ₹ 1,75,000, paid to a scientific research association approved under section 35. Out of ₹ 1,75,000, ₹ 50,000 was utilised towards the purchase of land by the research association.

(vii) He received ₹ 3,00,000 from a debtor which was written off as bad in the year 2018-19. Amount due from the debtor (which was written off as bad) was ₹ 5,00,000, out of which tax officer had only allowed ₹ 3,00,000 as deduction in computing the total income for assessment year 2018-19.

Compute the total income and tax liability of Mr. Ganesh for the assessment year 2025-26 assuming that he wants to pay tax under section 115BAC.